Customer Churn

Actionable business decision to prevent customer churn

Fitness App | Churn Analysis

Business problem and objective

Fitness App has experienced increasing customer churn over the past two quarters.

The objective of this analysis is to identify customer characteristics associated with churn and translate those findings into practical retention actions.

Focus areas

Engagement
Subscription plan

Business outcome

Identify high-risk customer groups and opportunities to improve retention.

Approach

Exploratory analysis of customer, activity data.

Data and analytical approach

The analysis combines two sources of customer information:

Account information

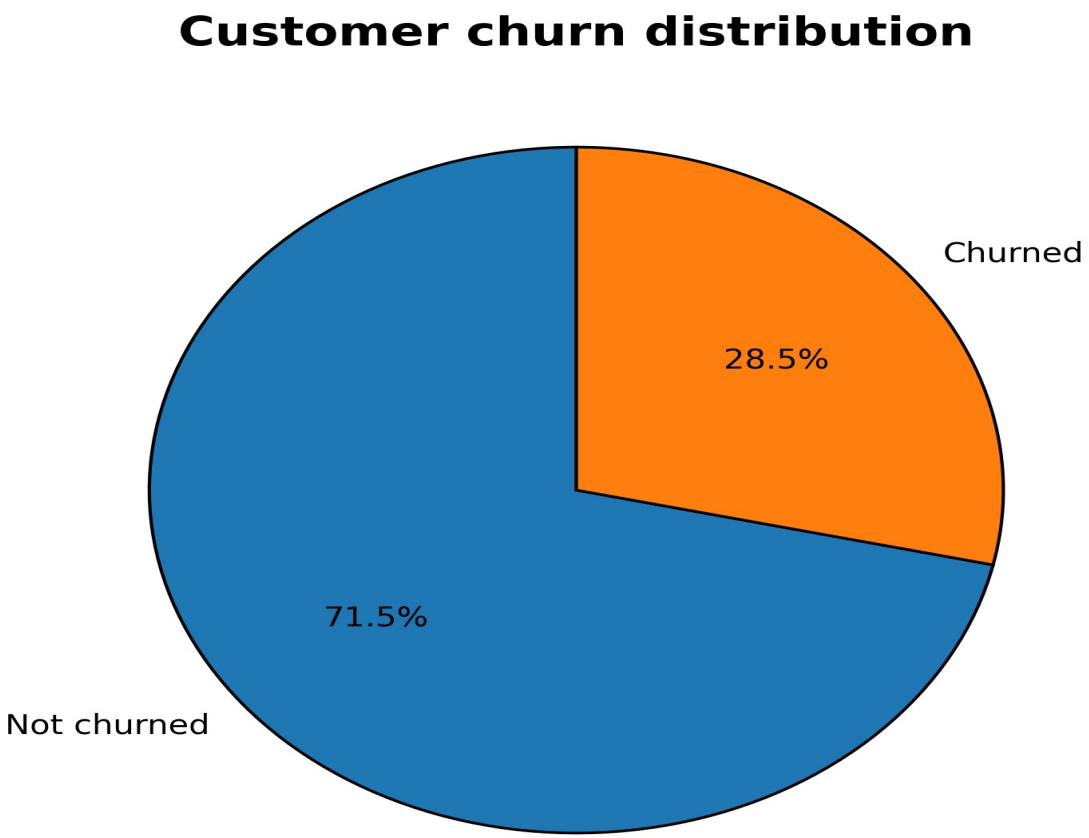
Customer identifier, churn status and subscription plan.

User activity

Activity events were aggregated into the number of distinct days each customer was active.

The analysis then compared churn across engagement levels and subscription plans.

Overall customer churn

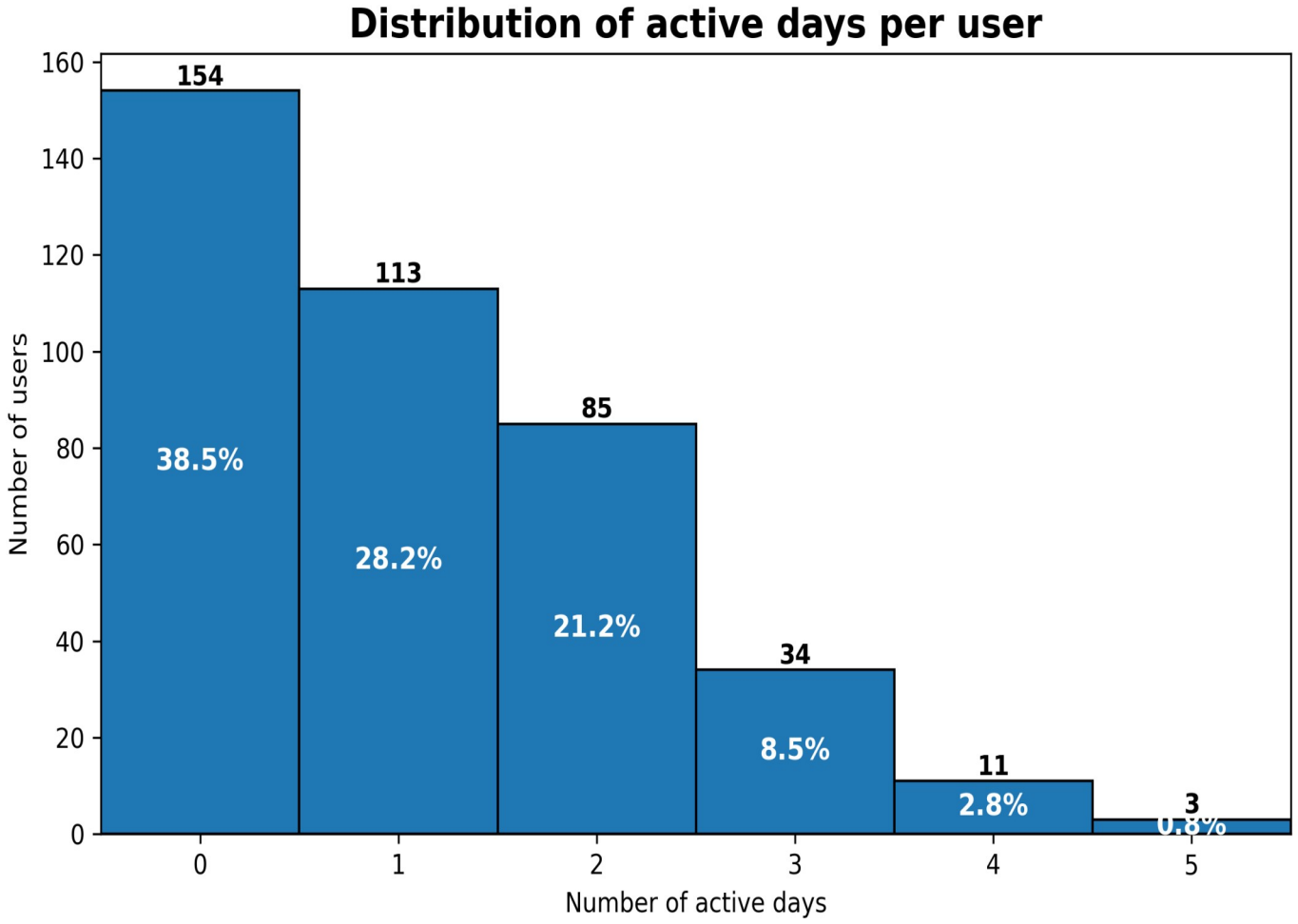


≈30%

of customers have churned

This indicates that customer retention is a significant business issue for Fitness App

Customer engagement is relatively low



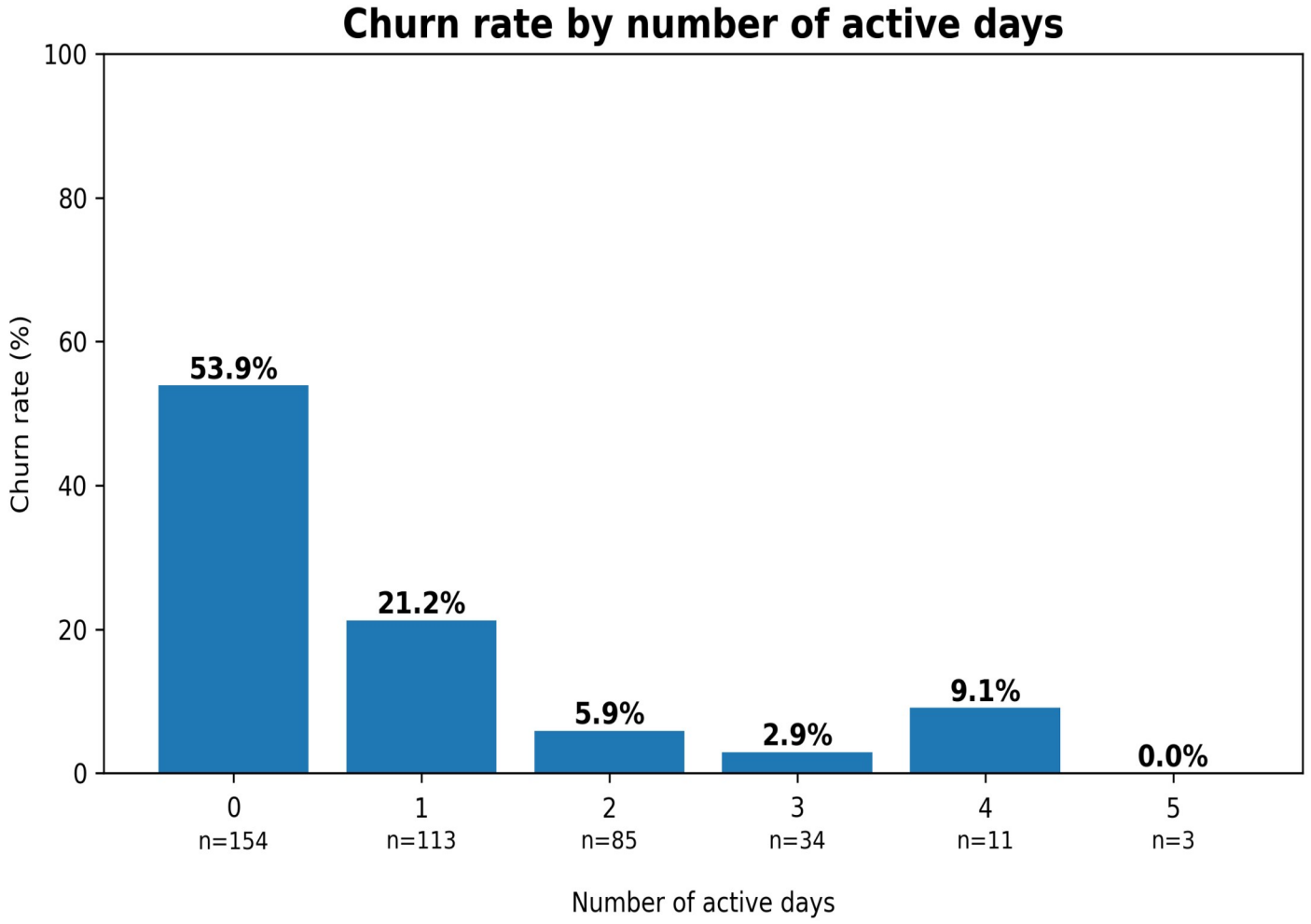
Key observation

A large proportion of customers were active on zero or only one day during the approximately 180-day observation period.

Low engagement

66.8% of customers were active on zero or one day.

Engagement is strongly associated with churn



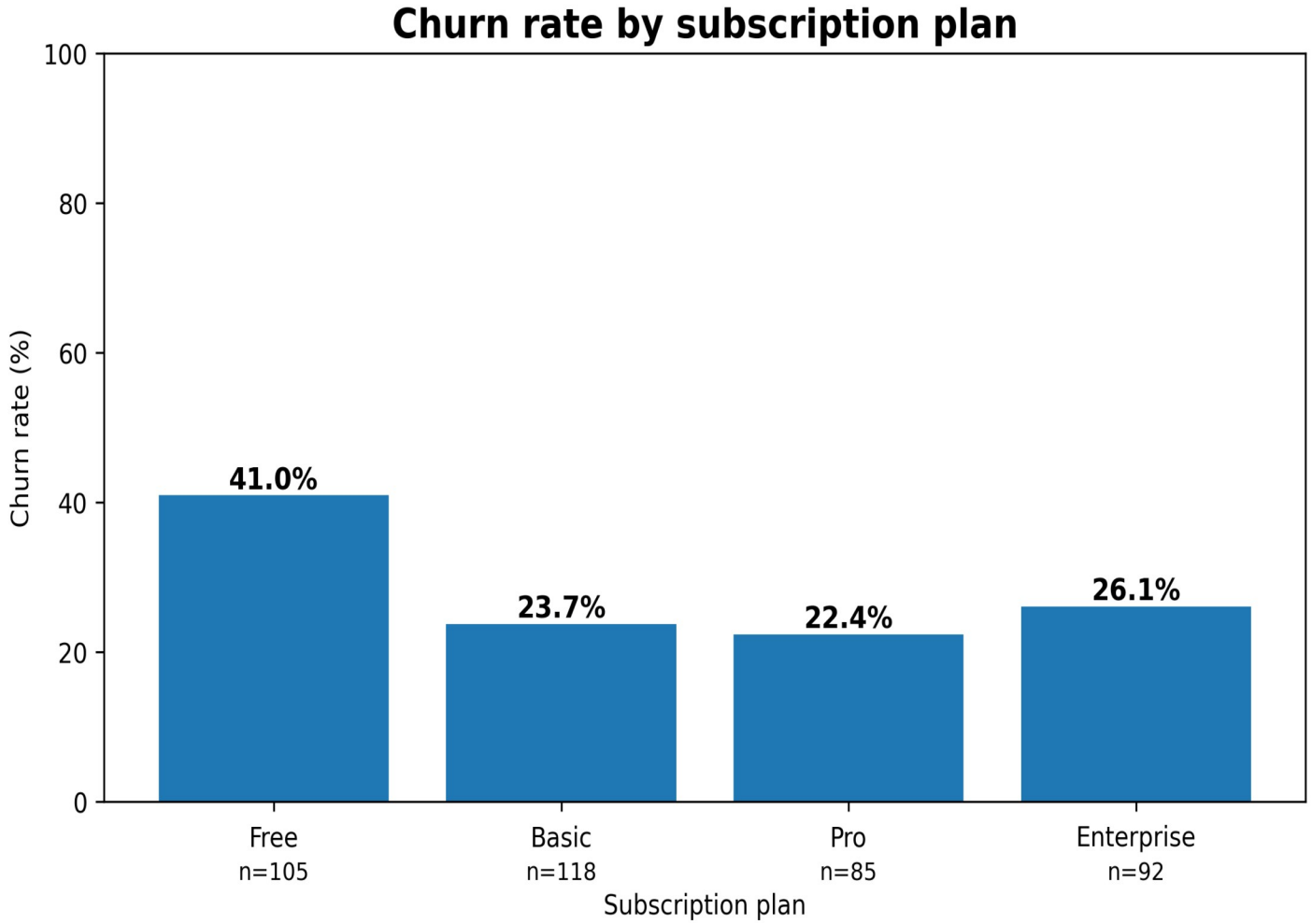
≈50%

churn among customers with zero active days

Churn decreases substantially as the number of active days increases.

The groups with four and five active days are small, so their rates should be interpreted cautiously.

Free-plan customers show higher churn



≈40%

Free-plan churn rate

Compared with approximately 20% for the other subscription plans.

This makes Free-plan customers an important segment for further investigation.

Key findings

1. Churn is significant

Approximately 30% of customers in the dataset have churned.

2. Engagement matters

Low activity is strongly associated with higher churn. Zero-activity customers have the highest observed churn rate.

3. Free is higher risk

Free-plan customers have approximately twice the churn rate of customers on the other plans.

The strongest observed signal is the relationship between engagement and churn.

Recommendations

Re-engage inactive customers

Target customers with little or no activity using personalized notifications, reminders, onboarding prompts and relevant workout recommendations.

Focus on Free-plan retention

Investigate why Free-plan customers churn more frequently and test improvements to the Free-plan experience and retention campaigns.

Test and measure

Use controlled experiments where possible and monitor whether retention initiatives improve engagement and reduce churn.

Important: the analysis identifies associations, not causal relationships.

Metrics and next steps

Primary metric

Overall churn rate

Current baseline: ≈30%

Supporting metric

Free-plan churn rate

Current baseline: ≈40%

Supporting metric

Low-engagement customer rate

Current baseline: 66.8%

Next steps

- Track these metrics consistently over time.
- Test targeted retention interventions.
- Investigate additional drivers of churn.
- Use future experiments to validate whether interventions actually reduce churn.